

LEGISLATIVE CATALYST · DIGITAL ASSETS

Will the CLARITY Act Be Signed Into Law Before August?

A probability estimate for the Digital Asset Market Clarity Act (H.R. 3633) reaching the President's desk and being signed on or before 31 July 2026.

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~6%

CENTRAL ESTIMATE

We estimate a ~6% probability (plausible range 3–14%) that the CLARITY Act is signed into law on or before 31 July 2026. The bill is real, advancing, and has a credible 2026 path — the prediction market prices a **42.5%** chance it is signed at some point this year — but the *before-August* window is the binding constraint. Three sequential gates (a 60-vote Senate floor passage, House concurrence in the Senate text, and the signature) must *all* clear inside roughly 15 Senate session days that are split by the 27 Jun–12 Jul recess, with two substantive disputes still unresolved. The base case is that market-structure law is an H2-2026 story, not a July one.

Conclusion first: a sub-August signing is a low-probability near-term catalyst. The larger, better-priced catalyst window opens after Labor Day (Senate returns 14 Sep), ahead of the midterm campaign recess.

1 The milestone ladder

"Signed into law" is the last rung of a multi-step ladder. Each rung is a conditional gate; the question asked concerns the bottom rung under a hard 31 July cut-off. Probabilities below are our estimates as of 23 June 2026.

ESTIMATED PROBABILITY BY MILESTONE — DEADLINE 31 JULY 2026 UNLESS NOTED

MILESTONE	STATUS	P(BY 31 JUL)
House passage (already achieved)	Done 17 Jul 2025, 294–134	100%
Reported to Senate floor calendar (already achieved)	Cal. No. 423, 1 Jun 2026	100%
Senate floor passage (≥60 votes) by 31 Jul	Not scheduled	~20%
— memo: Senate passage by 7 Aug (pre-recess, press framing)	—	~30–35%
Both chambers clear identical text by 31 Jul	Pending Senate	~7%
Signed into law by 31 Jul 2026 (the question)	—	~6%
Context: signed into law any time in 2026 (market-implied)	Polymarket	42.5%

Note the gap between "before the August recess" ($\leq$ 7 Aug, the deadline the press tracks) and "before August" ($\leq$ 31 Jul, your question). The 3–7 Aug session week is arguably the single most likely passage window — and it falls *outside* the asked window. This alone meaningfully lowers the estimate versus the headlines.

2 Where the bill actually stands

Data shows (Congress.gov action log, last updated 11 Jun 2026):

DATE	ACTION
29 May 2025	Introduced in House
17 Jul 2025	Passed House, 294–134 (Roll 199) — strong bipartisan margin
18 Sep 2025	Received in Senate; referred to Banking, Housing & Urban Affairs
29 Jan 2026	Senate Agriculture advanced its portion (CFTC jurisdiction)
14 May 2026	Senate Banking ordered reported, 15–9 (Dems Gallego & Alsobrooks crossed over)
1 Jun 2026	Reported w/ substitute (Sen. Scott); placed on Senate Legislative Calendar, Cal. No. 423

We believe the three things that matter for a sub-August signing are:

- **The seven-Democrat gate.** Sixty votes are needed to invoke cloture. Republicans hold ~53 seats; only 2 Democrats backed the bill in committee. Leadership must find ~7 Democrats on the floor while holding its own caucus (e.g., members with stablecoin-competition or ethics concerns).
- **Two unresolved disputes.** The **stablecoin-yield** question (the White House's 1 March compromise deadline lapsed without published text) and the **Van Hollen ethics / conflict-of-interest amendment** (failed 11–13 in committee) are both heading to the floor unsettled. A floor vote is unlikely to be called until a path on both exists.
- **Floor time and the calendar.** Majority Leader Thune controls a midterm-year floor crowded with appropriations and nominations. Sen. Lummis has placed the "probable" floor window *before the August recess*; Sen. Hagerty's hope for a pre-July 4 vote is now off the table given the 27 Jun–12 Jul recess.

3 Method: a three-source ensemble

We triangulate three independent estimators rather than rely on any single one, then gate the result on the legislative calendar.

1. **Structural gate model (primary).** Decompose the remaining path into sequential conditional probabilities and multiply. This is auditable and isolates the binding constraint.
2. **Market-implied anchor (cross-check).** Polymarket's "signed in 2026" contract (42.5% Yes, \$1.4m volume) is a money-weighted full-year estimate; we convert it to a before-August figure using a timing split.
3. **Precedent base rate (sanity band).** The GENIUS Act is the closest comparable: Senate passage → House concurrence → signature in ~1 month (Senate 68–30 on 17 Jun 2025; signed 18 Jul 2025). But it cleared the Senate *comfortably* and the House adopted the Senate text wholesale — neither condition is yet met for CLARITY.

4 The conditional-gate model

$P(\text{signed} \leq 31 \text{ Jul}) = P(\text{Senate passes} \geq 60 \text{ by } \sim 28 \text{ Jul}) \times P(\text{House clears the Senate text by 31 Jul} \mid \text{Senate passed}) \times P(\text{President signs by 31 Jul} \mid \text{both chambers passed})$. The $\sim 28 \text{ Jul}$ sub-deadline leaves a few days for House action and signature inside the window.

BASE-CASE DECOMPOSITION

GATE	RATIONALE	P
A. Senate floor passage (≥ 60) by $\sim 28 \text{ Jul}$	On calendar & eligible, but 7-Dem gap and two open disputes; competing floor time; passage more likely in the 3–7 Aug week that is <i>outside</i> the window	20%
B. House clears identical text by 31 Jul $\mid$ A	House signals it will "move fast" and could take up the Senate bill directly (GENIUS template) — but the Senate substitute differs from the House version; days-tight, risk of insisting on changes/conference	35%
C. President signs by 31 Jul $\mid$ A,B	Administration strongly supportive ("rocket ship"); GENIUS was signed next-day	90%
Product	$0.20 \times 0.35 \times 0.90$	$\sim 6.3\%$

Market cross-check

The full-year market prices 42.5%. For the before-August figure to equal $\sim 6\%$, roughly 15% of the 2026 success mass must fall in the next five weeks (two of which are recess), with the remainder in the post-Labor Day and lame-duck windows. Given far more session days exist after 14 September, a $\sim 15\%$ near-term share is reasonable — so the market anchor and the structural model **converge near 6%**, which raises our confidence in the estimate.

5 Scenario & sensitivity analysis

The estimate is most sensitive to Gate A (does the Senate even vote, and pass, in July) and Gate B (does the House swallow the Senate text immediately). Holding the signature gate near-certain, we bound the outcome:

SENSITIVITY OF P(SIGNED ≤ 31 JUL) TO THE TWO BINDING GATES

SCENARIO	GATE A	GATE B	GATE C	P(SIGNED ≤ 31 JUL)
Bear — vote slips past July; disputes unresolved	12%	25%	88%	~2.6%
Base — narrow late-July attempt	20%	35%	90%	~6.3%
Bull — disputes settled, floor cleared mid-July, House fast-follows	30%	50%	92%	~13.8%

PROBABILITY-WEIGHTED ESTIMATE

SCENARIO	SCENARIO WEIGHT	P(SIGNED ≤ 31 JUL)	CONTRIBUTION
Bear	45%	2.6%	1.2%
Base	40%	6.3%	2.5%
Bull	15%	13.8%	2.1%
Expected value	100%	—	~5.8%

Rounded headline: **~6%, range 3–14%**. We report a range rather than a false-precision point estimate because the floor schedule is not yet set.

6 What would move the estimate

SIGNAL TO WATCH	DIRECTION	WHY IT MATTERS
Thune files cloture / sets a July floor date	▲ up	Converts Gate A from "if" to "when"; the single biggest swing factor
Published stablecoin-yield & ethics compromise	▲ up	Removes the two reasons a vote is being withheld
≥7 named Democratic Yes votes emerge	▲ up	Directly satisfies the 60-vote gate
House leadership pre-commits to the Senate text	▲ up	Collapses Gate B toward the GENIUS fast-path
Appropriations / shutdown fight consumes floor time	▼ down	Midterm-year floor is contested; market structure can be crowded out
Senate insists on conference with the House	▼ down	A conference almost certainly pushes signing past July
Polymarket "2026" contract falls further (was 64→48→42.5)	▼ down	The trend already reflects fading near-term odds

7 Investment relevance

For a Bitcoin-benchmarked book, CLARITY is a sentiment- and flow-relevant catalyst (regulatory clarity for digital-commodity spot markets under the CFTC), but the *timing* of the catalyst is what is tradeable here. **We believe** the practical read is:

- **Do not pay up for a pre-August signing.** At ~6%, the near-term event is unlikely; structuring exposure around a July signature has poor expected value.
- **The real catalyst window is post-Labor Day.** The bulk of the market-implied 42.5% sits in the 14 Sep–2 Oct window and the post-election lame duck — both with more session days and, by then, possibly resolved disputes.
- **Mind "buy the rumor, sell the news."** With the full-year probability already near a coin-flip and partially priced into crypto sentiment, the marginal upside on an actual signing may be muted; the larger asymmetric move could be to the downside on a clear *failure* signal (e.g., the bill slipping to 2027).

This note expresses no BTC price target. It is a single-event probability assessment intended as one input to catalyst positioning, consistent with the fund's mandate to outperform spot BTC over multi-year horizons.

DISCLOSURES & CFA-STANDARD NOTES

As-of date. All probabilities and statuses are as of 23 June 2026 and will drift as the Senate floor schedule firms up.

Question definition. "Passing" is defined, per the client's instruction, as *signed into law* (enacted), not Senate passage or bicameral passage; "before August" is interpreted as on or before 31 July 2026.

Data sources & vintage. Legislative status and action dates: Congress.gov API, H.R. 3633 (record last updated 11 Jun 2026) — treated as authoritative. Market-implied probability: Polymarket "Clarity Act signed into law in 2026?" via the public Gamma API (live read, 23 Jun 2026; 42.5% Yes, \$1.38m cumulative volume, resolves 1 Jan 2027). Calendar: U.S. Senate 2026 tentative legislative schedule (recesses 27 Jun–12 Jul and 8 Aug–13 Sep). Vote counts, committee dynamics, and the stablecoin-yield / ethics disputes: contemporaneous reporting (CNBC, CoinDesk, Fortune, The Defiant, Yahoo Finance, PYMNTS, FinTech Weekly). GENIUS Act precedent: Congress.gov and law-firm summaries.

Method & assumptions. The primary estimate is a structural conditional-gate model (probabilities multiplied across sequential steps); gate inputs are analyst judgments calibrated to the named facts, not market quotes. The market-implied figure is converted to a before-August basis via an assumed timing split (~15% of 2026 success mass in the pre-recess window). Scenario weights (Bear 45% / Base 40% / Bull 15%) are subjective. **Separation of fact and opinion:** milestone dates and the 42.5% market price are facts; all gate probabilities, weights, and the ~6% conclusion are opinion.

Limitations. Legislative forecasting is low-base-rate and regime-sensitive; a single procedural decision by the Majority Leader can move the estimate by more than its stated range. Prediction-market liquidity on niche legislative contracts is thin and the contract resolves on enactment in 2026 (a superset of the asked window), so it is used only as a corroborating anchor. This is a point-in-time read; we recommend refreshing on any change to the Senate floor schedule.

Conflicts. TON618 Capital holds long digital-asset exposure (Bitcoin and Bitcoin-linked instruments) whose sentiment could be affected by the outcome discussed. This note is research for information purposes only — it is not an offer, solicitation, or recommendation to buy or sell any security, fund interest, or digital asset, and it is not investment, legal, or tax advice. It contains forward-looking estimates that may prove wrong. Past performance is not indicative of future results. Digital assets are highly volatile and may result in total loss of capital. Prepared in keeping with CFA Institute Standards of Professional Conduct (diligence, reasonable basis, fair representation, and disclosure of conflicts).

SOURCES

1. Congress.gov — H.R. 3633, Digital Asset Market Clarity Act, bill status & actions: congress.gov/bill/119th-congress/house-bill/3633
2. Polymarket — "Clarity Act signed into law in 2026?": polymarket.com/event/clarity-act-signed-into-law-in-2026
3. U.S. Senate — 2026 tentative legislative schedule: senate.gov/legislative/2026_schedule.htm; Roll Call, "Senate releases its 2026 calendar" (19 Nov 2025).
4. CNBC — "Crypto industry scores win as Clarity Act clears Senate hurdle" (14 May 2026).
5. CoinDesk — "Clarity Act, in the flesh, unveiled by U.S. Senate Banking Committee" (11 May 2026); Fortune — "Where things stand going into Senate markup" (13 May 2026).
6. The Defiant — "CLARITY Act Reaches Senate Floor ... Seven-Democrat Math Becomes the Gate"; crypto.news / TFTC — "7-Democrat Senate math."
7. Yahoo Finance — "Senate CLARITY Act Floor Vote Hinges on Ethics Rules and August Recess Deadline"; PYMNTS — "CLARITY Act Nears Senate Floor Ahead of Recess Deadline"; FinTech Weekly — "18 Working Weeks Left."
8. GENIUS Act precedent — Congress.gov S.1582 / S.394; Mayer Brown & Debevoise enactment summaries (Senate 68–30, 17 Jun 2025; signed 18 Jul 2025).

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